



South Africa liquid fuels market story

Evidence, implications and Vopak's opportunity

Durban and Gauteng (Lesedi catchment)

7 October 2026

Evidence review draft; scenarios deferred

Photo source: Royal Vopak | Terminal Durban | vopak.com

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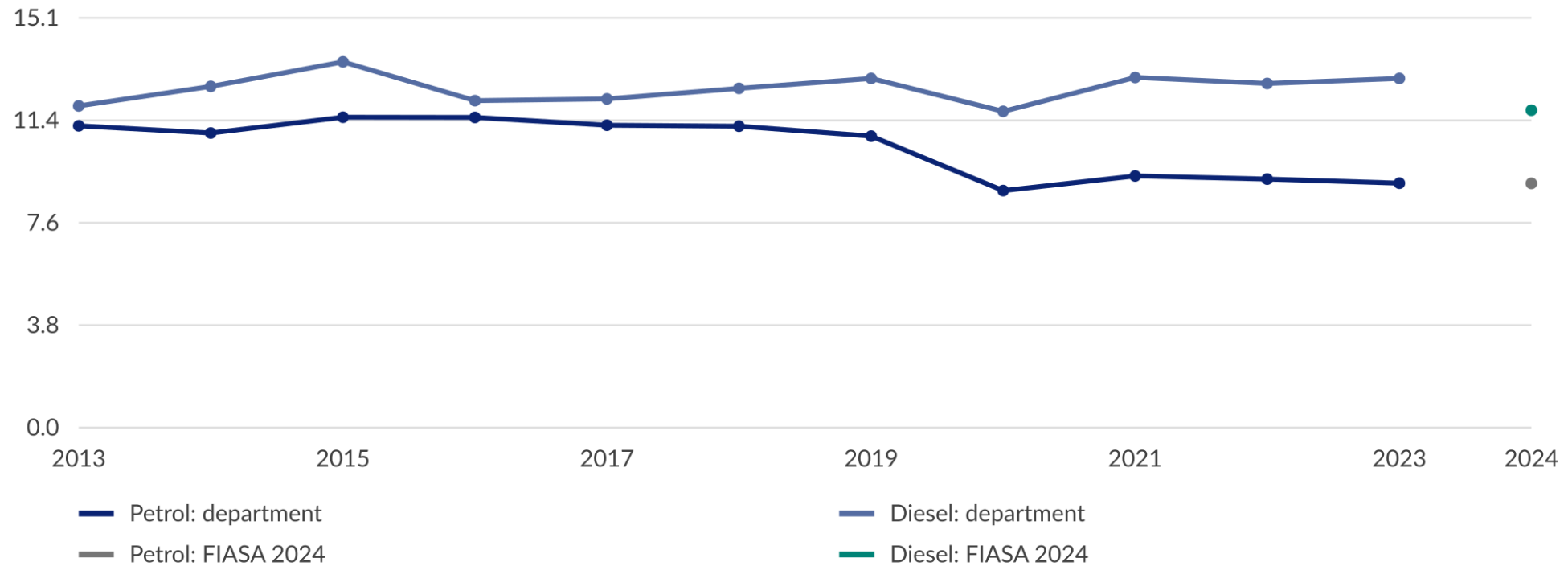
Vopak's opportunity depends on import needs and the routes customers choose

Evidence	Interpretation	Implication for Vopak
Demand	Petrol and diesel have diverged. Power recovery can remove a source of diesel demand.	Separate product and end-use trends before projecting terminal volumes.
Supply	Domestic plant output and restart timing can change import requirements even with flat demand.	An import opportunity can grow without equivalent growth in national consumption.
Capture	Durban competes through delivered cost and service into inland markets.	Test accessible customer volumes, then the storage and handling economics.

Working synthesis of the evidence on subsequent pages. Scenarios deferred; no investment recommendation or measured Vopak throughput share.

Petrol fell 19% over 2013–2023 while diesel rose 9%

billion litres / calendar year

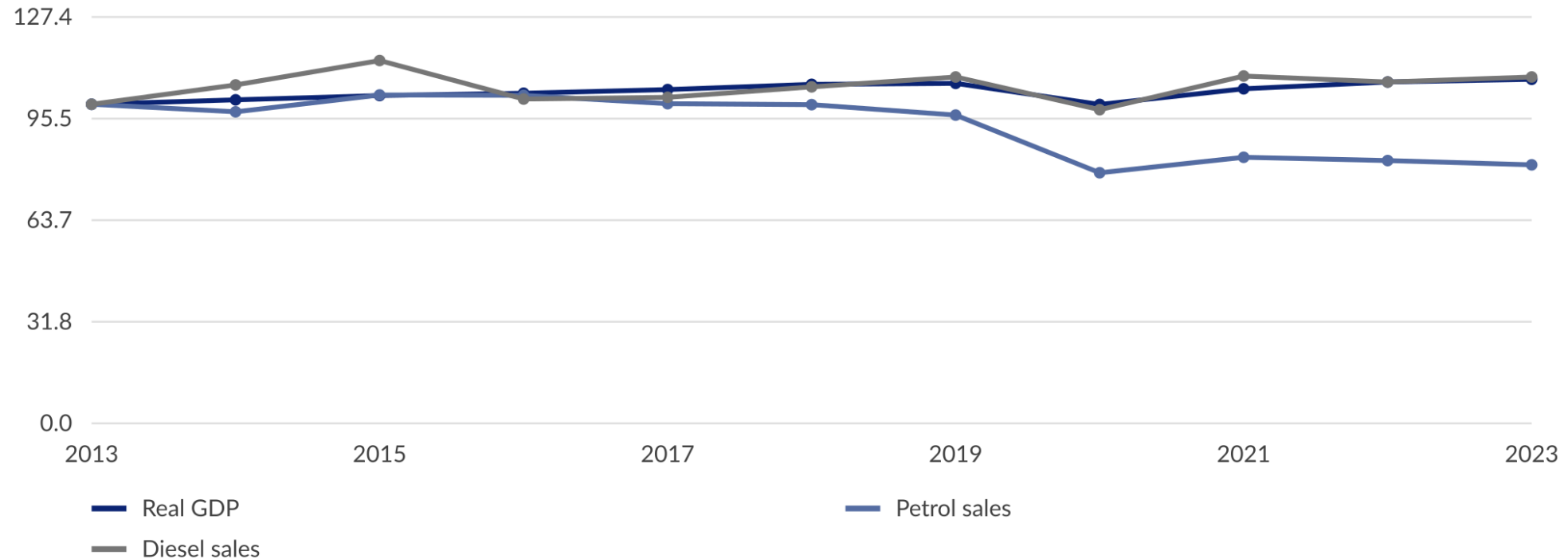


The flat-market shorthand hides different product trajectories. Demand growth alone is an insufficient basis for tank investment.

Department fuel sales, 2013–2023, same-series comparison. FIASA 2024 shown separately; source definitions require reconciliation.

GDP and fuel volumes need separate explanations of activity and sector mix

index: 2013 = 100; matched 2013-2023 window

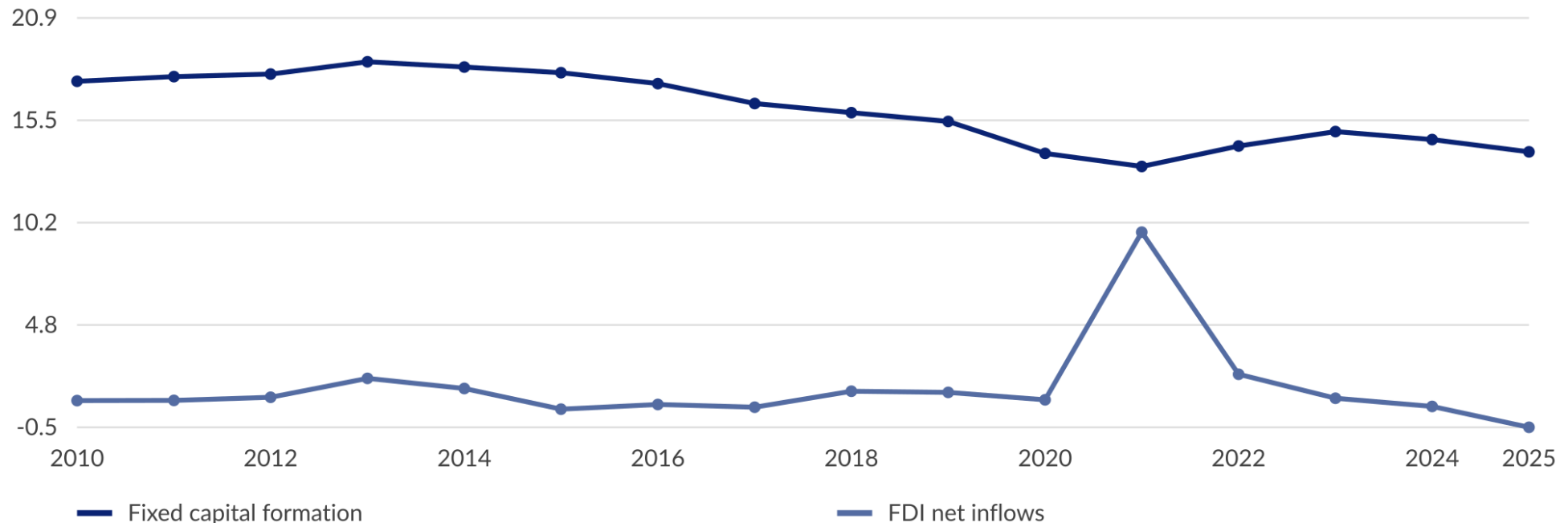


Economic weakness means limited growth in real activity and investment. Structural change means a different mix of output, travel and fuel use; this chart alone cannot attribute causality.

Staged GDP and department fuel sales, indices 2013=100. Sector attribution remains open; COVID distorts short-period comparisons.

Investment evidence informs the growth outlook but does not establish extra fuel demand

percent of GDP / calendar year



Fixed investment helps frame productive capacity. FDI can include large transactions; neither series is a direct investor-confidence measure or an additional fuel-demand multiplier.

World Bank WDI, FDI net inflows and gross fixed capital formation as % of GDP, 2010–2025. Confidence series remains an evidence gap.

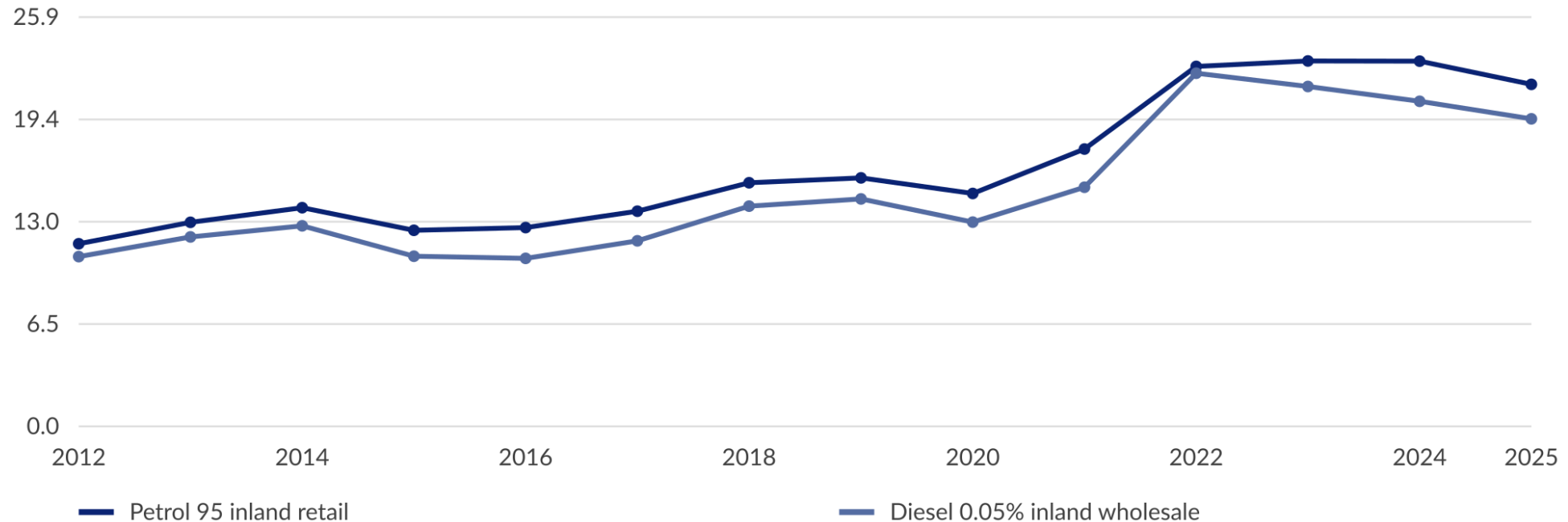
Mining, agriculture and aviation require distinct demand explanations

Evidence	Interpretation	Implication for Vopak
Mining	Output, commodity mix and haul distance influence diesel use and freight.	Separate mine activity from the fuel impact of changing freight mode.
Agriculture	Crop cycles, weather, irrigation and logistics can shift seasonal diesel use.	Establish sector activity and fuel exposure before assigning a headwind.
Aviation	Traffic, distance, load factors and aircraft efficiency drive jet-fuel demand.	Keep jet fuel separate from petrol/diesel shares and verify terminal eligibility.
Manufacturing	Real output and industrial composition help explain the economic backdrop.	Test changes using sector data; a national fuel chart does not prove deindustrialisation.

Analytical framework following user comments. Sector-specific exhibits and causal attribution remain to be completed.

Fuel-price shocks affect running costs; sustained economics influence EV uptake

nominal ZAR/litre; full-year monthly averages



Shipping disruption, crude prices and FX can move fuel costs temporarily. EV adoption depends on sustained total ownership cost, purchase affordability, charging access and fleet replacement.

Department fuel-price history, nominal R/litre. No quantified geopolitical premium or calibrated EV adoption response is asserted.

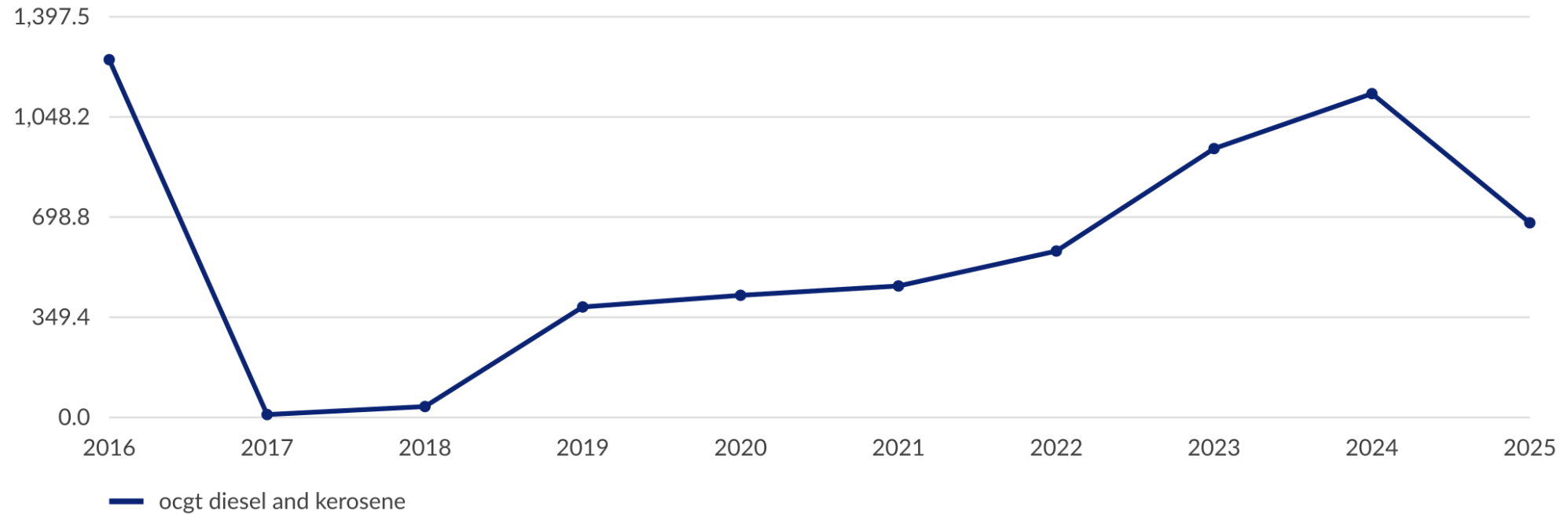
More efficient new vehicles reduce fuel intensity gradually as the fleet turns over

Evidence	Interpretation	Implication for Vopak
Fleet growth	More vehicles or distance travelled can raise demand.	Measure activity before attributing lower fuel volumes to efficiency.
Efficiency	New-cohort consumption gains enter the fleet over successive replacement cycles.	Obtain OEM and real-world evidence by segment; do not apply new-vehicle gains to every vehicle.
EV substitution	EVs remove some combustion-engine vehicle activity from the fuel calculation.	Count each vehicle transition once, then calculate efficiency on the remaining combustion fleet.

Mechanism supported by existing cohort architecture. OEM historical and future efficiency evidence is still missing; no new forecast shown.

Eskom's reported OCGT fuel use fell 40% in FY2025

million litres / FY ending 31 March

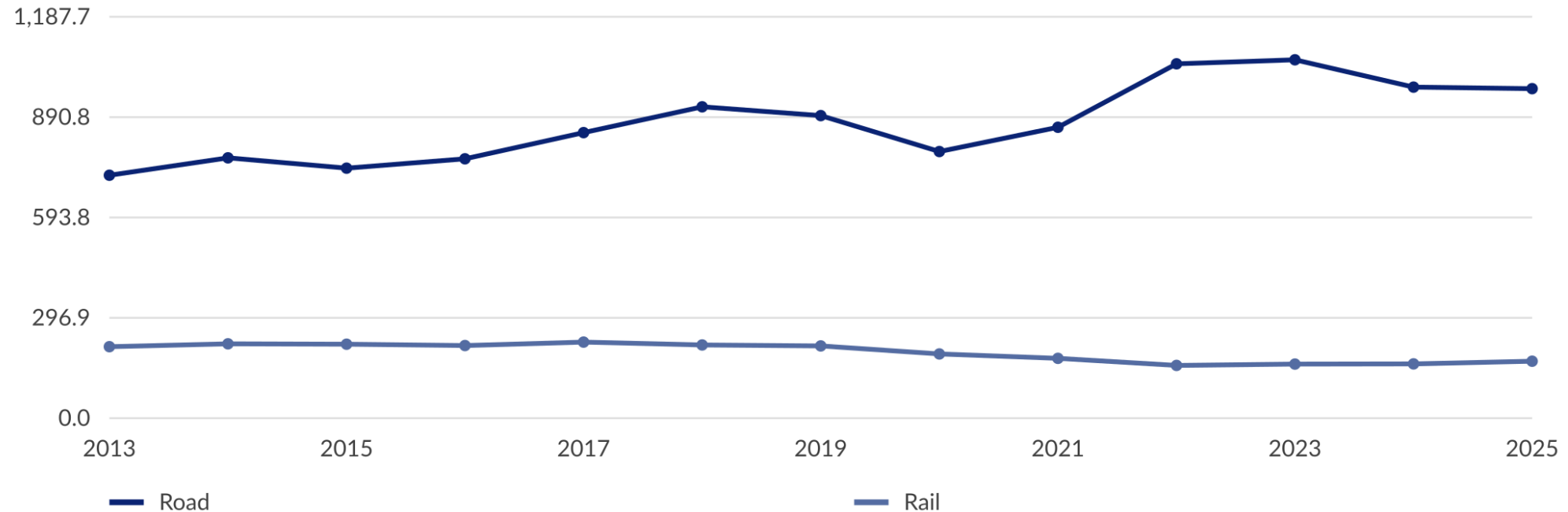


Reported fuel fell from 1,129.5 to 679.1 million litres as EAF improved from 54.56% to 60.60%. This removes part of the recent diesel-demand support.

Eskom integrated report 2025: FY March, own-fleet diesel + kerosene. EAF association is not a dispatch model; private backup use excluded.

Road-to-rail recovery matters through transferable freight and haul distance

million tonnes / complete calendar year

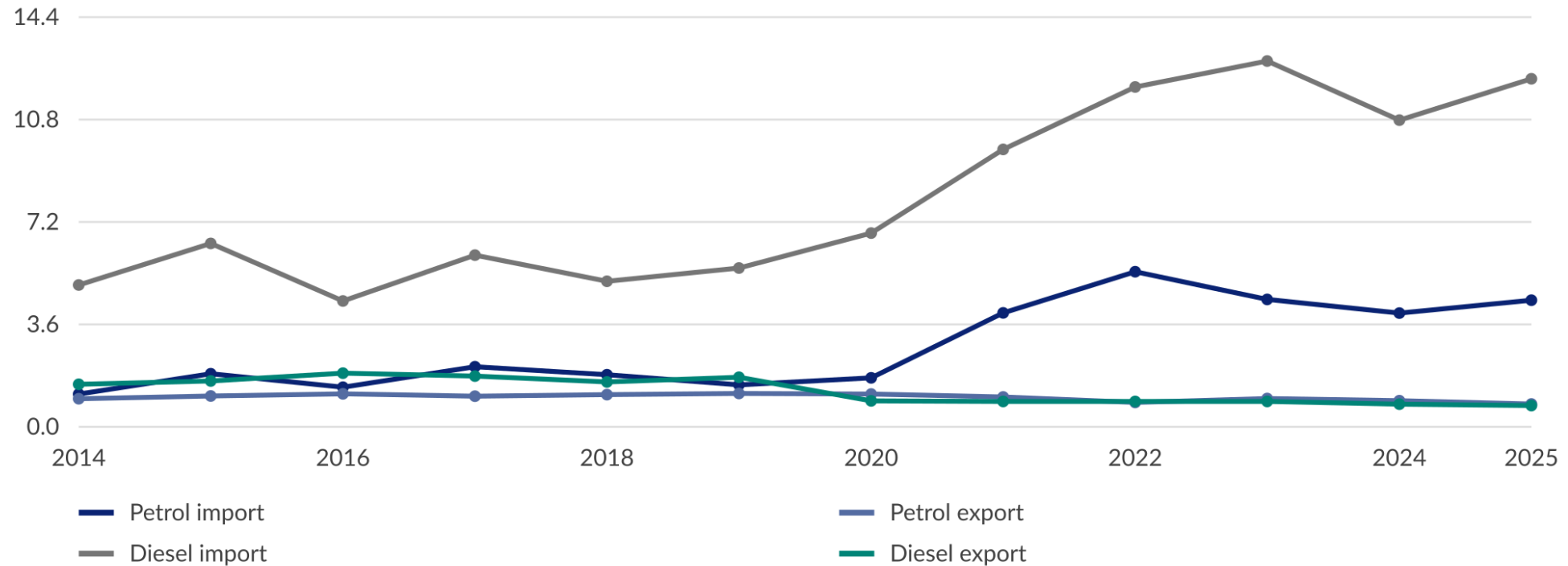


Payload establishes the historical direction. Diesel displacement requires corridor tonne-kilometres, road fuel intensity, rail traction and last-mile activity.

Stats SA monthly freight payload, complete calendar years. National tonnes are not corridor tonne-kilometres or transferable freight.

Domestic production and imports must be read as one supply balance

billion litres / complete calendar year



Imports address the gap between demand and domestic product supply. Plant outages and lost output matter, alongside exports, stock movements and product definitions.

SARS trade: complete years and litre-reported petrol/diesel codes. Kg, unknown units and excluded blends prevent treatment as a complete physical balance.

Plant-specific uncertainty can change the import requirement in either direction

Evidence	Interpretation	Implication for Vopak
SAPREF	CEF describes an import phase followed by a proposed large refinery development.	Import infrastructure can precede any local production recovery. Timing, financing and yields remain conditional.
Secunda	Declining gas supply and potential MRG diversion could reduce liquid output.	MRG bridge is conditional. A quantified liquids penalty requires a gas balance and marginal conversion yield.
Natref	Sasol reported an operational disruption in September 2026.	An outage is not evidence of permanent closure. Confirm recovery and the longer-term investment outlook.
Mossgas / PetroSA	GTL has not operated since December 2020; a recommissioning proposal exists.	Separate stopped historical production from a funded future restart.

CEF 10 Sep 2026 roadmap; Sasol 6 Nov 2025 MRG and 1 Sep 2026 Natref releases; PetroSA recommissioning scope. URLs and qualifications in evidence report.

Power recovery can persist, but availability and replacement timing remain risks

Evidence	Interpretation	Implication for Vopak
Recovery persists	A more available coal fleet and replacement generation reduce residual diesel dispatch.	Recent Eskom fuel consumption should not be extrapolated as a permanent growth source.
Recovery reverses	Major breakdowns or retirements before dependable replacement create a generation gap.	Quantify dispatch and operating constraints before translating a gap into fuel litres.
Load shedding	Grid shortages can also affect private backup generation.	Separate Eskom OCGT use from private generators. Ending load shedding does not imply zero Eskom diesel use.

Standalone power complication retained as requested. EAF, retirement and commissioning assumptions require later scenario calibration.

Rail recovery on the Durban corridor depends on funding and reliable service

Evidence	Interpretation	Implication for Vopak
Network ambition	The supplied brief reports a 250 Mt target dependent on a funding plan.	Do not treat every additional rail tonne as road displacement. Commodity, corridor and origin matter.
Funding constraint	Brief: R46.34bn approved over five years, including R1.71bn expansion.	Maintenance and sustaining spend dominate. A published plan is insufficient evidence of delivered capacity.
Container corridor	Brief: R2.11bn in 2026/27–2028/29; private funding expected thereafter.	Prioritise Durban–Gauteng road/rail competition and reconcile the corridor to Network Statement v4.
Two fuel effects	Rail can displace truck diesel while improved infrastructure also changes fuel-distribution economics.	Keep freight-demand effects separate from the route delivering fuel to Gauteng.

User-supplied AIA Transnet Funding Brief, Sep 2026, pp1–2; cites FY2026 AFS and Network Statement v4 Annexure 17. Primary figures not independently reconciled.

Origin–destination economics determine which supply route can win a customer

Evidence	Interpretation	Implication for Vopak
Durban–Gauteng	Compare road, rail and pipeline to the same receiving point and product specification.	Include handling, transport, losses, inventory finance and service constraints.
Matola / Maputo	Include inland haul and border costs for each reachable destination.	A port-level cost comparison cannot establish Gauteng competitiveness.
Walvis Bay	Test distance, transit time and corridor capacity into each target market.	Do not assume that every inland customer is economically addressable.
Price bearability	Maximum affordable logistics cost = destination netback less origin product and other delivered costs.	Output R/litre headroom, feasible volume and binding constraints. Route rates and access terms remain missing.

Submodel specification adopted from the annotated review. No route winner is asserted without matched costs, access and capacity.

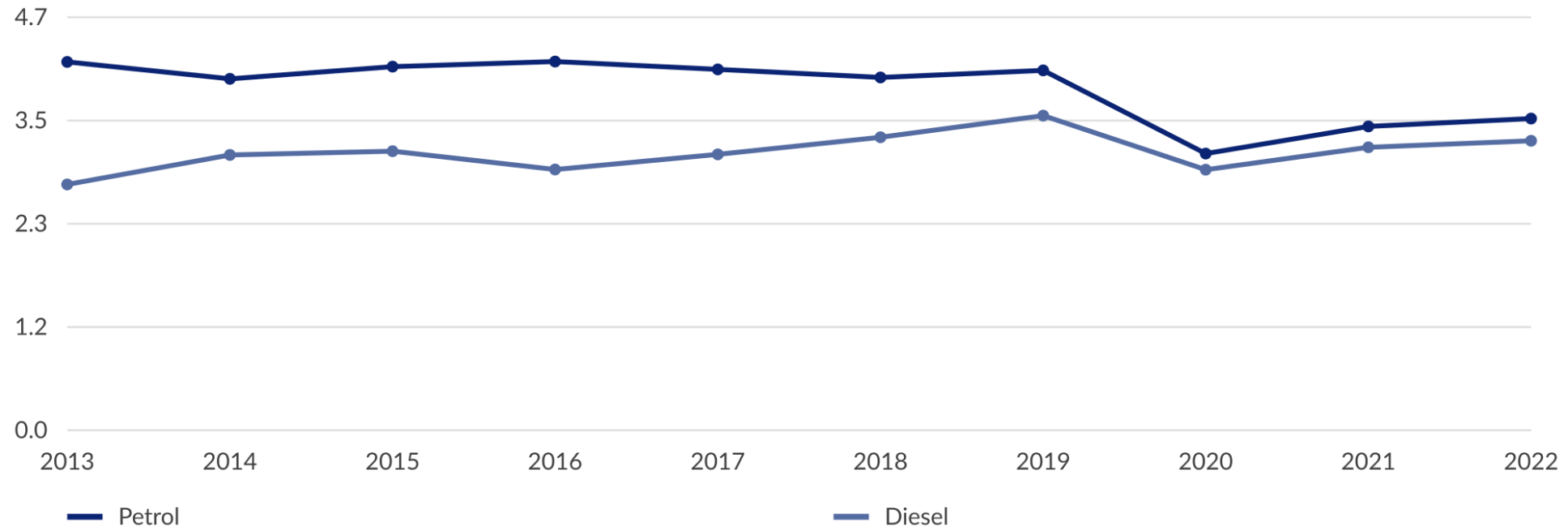
Durban capacity provides a limited proxy, not a measured throughput share

Evidence	Interpretation	Implication for Vopak
Published capacity	Vopak Durban: 360,246 m ³ . Bidvest Durban: 439,306 m ³ .	These two published totals cover different product mixes and exclude other operators.
Inference test	Vopak holds 45.1% of the combined gross capacity of this two-operator set.	This is an asset-footprint proxy only. It is neither total Durban storage share nor petrol/diesel throughput share.
Missing bridge	Eligible working tankage × realised turnover × destination allocation gives a throughput estimate.	Product mix and turnover can change the inferred share materially. Obtain these before reporting a central share estimate.

Vopak / Bidvest operator inventory checked 6–7 Oct 2026. 360,246 / (360,246 + 439,306). Public capacities are gross; complete denominator unavailable.

Gauteng provides a demand denominator for testing Lesedi's potential reach

billion litres / complete calendar year



2022 petrol + diesel sales total 6.81bn litres. Lesedi's 140,000m³ equals 2.06% of that annual market per effective gross-capacity turn. Actual turns and Gauteng allocation remain unknown.

Department provincial sales, latest complete staged year 2022; Vopak Lesedi current capacity. Cross-vintage scale test only, not current observed market share.

Catchment dashboards must lead to a forecast of revenue and cash flow

Evidence	Interpretation	Implication for Vopak
Durban dashboard	Demand served, import flows, eligible competitor capacity, inferred throughput and corridor economics.	Separate port handling from deliveries to final customers. Avoid counting Durban–Lesedi transfers twice in a group share.
Gauteng dashboard	Petrol/diesel demand, route access, Lesedi capacity, implied turns and unique customer deliveries.	Refresh the 2022 denominator and reconcile the geographic allocation before estimating current share.
Financial bridge	Contracted m ³ × storage tariff, plus billable handling × handling rate, plus eligible services.	Deduct opex to EBITDA, then tax, working capital and capex to cash flow. Avoid overlapping tariff revenue.
Investment decision	Compare phased capex with incremental cash flow, NPV, IRR and break-even utilisation.	Commercial rates, contracts, cost, capex and hurdle rate are missing. The forecast structure is defined; an investment return is not yet estimated.

User comments adopted: separate deep dives and investment-board financial resolution. Scenarios deferred; finance and origin–destination modules are specified, not implemented.

The next decision is which evidence can support Vopak's accessible volume

Evidence	Interpretation	Implication for Vopak
Supported now	Different petrol/diesel histories; lower Eskom fuel use; documented plant uncertainty; provisional Gauteng scope.	Continue the story with explicit product, geographic and period boundaries.
Tested now	Durban two-operator capacity proxy and Lesedi capacity-to-market scale.	Use these as transparent inference tests, not measured terminal market shares.
Next evidence	Corridor primary tables and tariffs; eligible tankage/turnover; refreshed Gauteng sales; sector and OEM evidence.	Owner: Nigel / analyst validation. Resolve before adopting a central market-share or routing result.
Next decision layer	Commercial inputs and approved forecast assumptions.	Owner: Nigel / commercial team. Resolve before financial returns or an investment recommendation; scenarios follow separately.

Evidence review draft, 7 Oct 2026. Not independently peer-reviewed or approved for investment reliance. Open items remain in the audit tracker.